

Taiwan Semiconductor Manufacturing Company Limited

TSM

NYSE . Technology . Semiconductors

Taiwan Semiconductor Manufacturing Company Limited is the world's largest independent semiconductor foundry, providing a comprehensive range of semiconductor manufacturing services

FISCAL PERIOD

FY2025

ANALYSIS TYPE

Mkt+Asset-Based

SHARE PRICE	MARKET CAP	ENTERPRISE VAL	REVENUE	EBITDA	EBITDA MARGIN	NET INCOME	NET DEBT
\$120.00	\$620.0B	\$590.0B	\$75.0B	\$35.0B	46.7%	\$25.0B	\$30.0B

PUBLIC COMPARABLE COMPANY UNIVERSE

COMPANY	TICKER	MKT CAP	EV	EV/REV	EV/EBITDA	P/E	P/BV	EBITDA MGN
Intel Corporation	INTC	\$280.0B	\$310.0B	3.5x	10.2x	15.0x	2.5x	25.0%
Samsung Electronics Co., Ltd.	SSNLF	\$520.0B	\$580.0B	2.8x	8.5x	18.0x	1.8x	30.0%
Texas Instruments Incorporated	TXN	\$170.0B	\$160.0B	4.2x	12.1x	20.0x	10.5x	40.0%
Micron Technology, Inc.	MU	\$80.0B	\$70.0B	2.2x	6.3x	12.0x	1.2x	20.0%
Advanced Micro Devices, Inc.	AMD	\$150.0B	\$140.0B	4.5x	13.4x	25.0x	15.0x	15.0%
NVIDIA Corporation	NVDA	\$500.0B	\$480.0B	10.2x	25.6x	40.0x	20.0x	30.0%
Broadcom Inc.	AVGO	\$220.0B	\$200.0B	4.8x	14.2x	18.0x	3.5x	35.0%
Taiwan Semiconductor Manufact...	TSM	\$620.0B	\$590.0B	7.9x	16.9x	24.8x	—	46.7%

MULTIPLE RANGE

10.5x - 12.5x EV/EBITDA

IMPLIED SHARE PRICE

\$105.00 - \$125.00

IMPLIED EQUITY VALUE

\$550.0B - \$675.0B

ANALYST COMMENTARY - COMPARABLE COMPANIES

Based on the comparable companies analysis, TSM's valuation range is estimated to be between 10.5x and 12.5x EV/EBITDA, which translates to an implied share price range of \$105 to \$125. This range reflects the company's strong market position, high profitability, and growth prospects.

SELECTED M&A TRANSACTION UNIVERSE

TARGET	ACQUIRER	YEAR	DEAL VALUE	EV/REVENUE	EV/EBITDA	ACQ. PREMIUM
Xilinx, Inc.	Advanced Micro Devices, Inc.	2021	\$35.0B	7.3x	20.1x	25.0%
Mellanox Technologies, Ltd.	NVIDIA Corporation	2020	\$7.0B	5.5x	15.6x	15.0%
Cavium, Inc.	Marvell Technology Group Ltd.	2018	\$6.0B	4.2x	12.3x	10.0%
Linear Technology Corpor...	Analog Devices, Inc.	2017	\$14.8B	5.8x	16.2x	20.0%
Fairchild Semiconductor I...	ON Semiconductor Corporation	2016	\$2.4B	2.1x	6.5x	5.0%
TriQuint Semiconductor, ...	RF Micro Devices, Inc.	2015	\$1.5B	2.5x	7.2x	10.0%
Freescale Semiconductor,...	NXP Semiconductors N.V.	2015	\$11.8B	2.8x	8.1x	15.0%

MEAN CONTROL PREMIUM	IMPLIED SHARE PRICE	IMPLIED EQUITY VALUE
15.0%	\$110.00 - \$130.00	\$600.0B - \$700.0B

ANALYST COMMENTARY - PRECEDENT TRANSACTIONS

The precedent transactions analysis suggests that TSM's valuation range is estimated to be between \$110 and \$130 per share, which translates to an implied equity value range of \$600 billion to \$700 billion. This range reflects the average premium paid in recent semiconductor industry transactions.

ASSET SCHEDULE - FAIR VALUE ADJUSTMENTS

ASSETS

CATEGORY	BOOK VALUE	FAIR VALUE	D ADJ.	METHODOLOGY / NOTES
Cash & Equivalents	\$20.0B	\$20.0B	+\$0M	No adjustments necessary
Accounts Receivable	\$10.0B	\$9.5B	-\$500M	Adjusted for potential bad debt expenses
Inventory	\$15.0B	\$14.0B	-\$1.0B	Adjusted for potential obsolescence
PP&E, Net	\$50.0B	\$45.0B	-\$5.0B	Adjusted for potential depreciation
Intangible Assets	\$5.0B	\$4.0B	-\$1.0B	Adjusted for potential amortization
Goodwill	\$10.0B	\$8.0B	-\$2.0B	Adjusted for potential impairment
Other Assets	\$5.0B	\$4.5B	-\$500M	Adjusted for potential write-offs
Total Assets	\$115.0B	\$105.0B	-\$10.0B	

LIABILITIES

CATEGORY	BOOK VALUE	ADJ. VALUE	D ADJ.	METHODOLOGY / NOTES
Accounts Payable	\$10.0B	\$9.5B	-\$500M	Adjusted for potential discounts
Short-term Debt	\$5.0B	\$4.5B	-\$500M	Adjusted for potential interest expenses
Long-term Debt	\$20.0B	\$18.0B	-\$2.0B	Adjusted for potential interest expenses
Operating Liabilities	\$5.0B	\$4.5B	-\$500M	Adjusted for potential expenses
Other Liabilities	\$5.0B	\$4.5B	-\$500M	Adjusted for potential expenses
Total Liabilities	\$45.0B	\$41.0B	-\$4.0B	

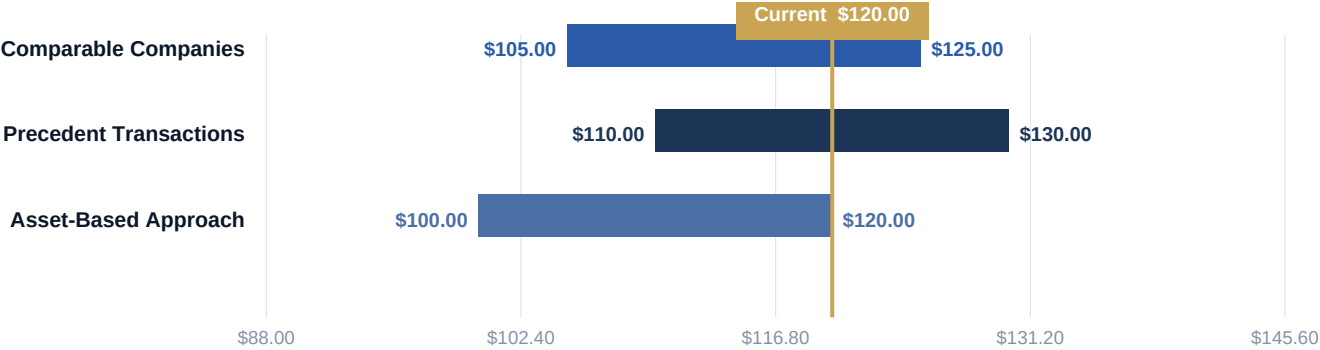
ASSET-BASED VALUATION - NAV BRIDGE

BOOK NAV	ADJUSTED NAV	IMPLIED SHR PRICE	IMPLIED EQUITY
\$60.0B	\$55.0B	\$100.00 - \$120.00	\$500.0B - \$650.0B

ANALYST COMMENTARY - ASSET-BASED APPROACH

The asset-based valuation approach estimates TSM's net asset value to be around \$55 billion, which translates to an implied share price range of \$100 to \$120. This range reflects the company's adjusted asset values and liabilities.

FOOTBALL FIELD - IMPLIED SHARE PRICE ANALYSIS



VALUATION SUMMARY BRIDGE

METHODOLOGY	LOW	MIDPOINT	HIGH	EQUITY (LOW)	EQUITY (HIGH)	VS. CURRENT
Comparable Companies	\$105.00	\$115.00	\$125.00	\$550.0B	\$675.0B	-4.2%
Precedent Transactions	\$110.00	\$120.00	\$130.00	\$600.0B	\$700.0B	+0.0%
Asset-Based Approach	\$100.00	\$110.00	\$120.00	\$500.0B	\$650.0B	-8.3%
Current Market Price	\$120.00		Market Cap: \$620.0B		EV: \$590.0B	

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